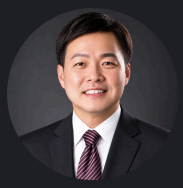
JASON CHOI
REAL ESTATE

FREE GUIDE

INVESTOR'S GUIDE · 2026

Investment Property Guide: Rental Income, Numbers & Tax

The key numbers, financing rules, Alberta vs. BC differences and tax basics for buying a rental property — with a worked Calgary example.



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1. Why Real Estate — and the Risks

Benefits	Risks
Leverage: control a large asset with a smaller down payment	**Vacancy:** you still pay the mortgage, fees and taxes
Cash flow: rent can cover costs and more	**Tenant problems:** evictions take time under tenancy laws
Appreciation over the long term (not guaranteed)	**Repairs:** budget 1%–2% of value per year
Mortgage paydown: rent pays down your loan	**Interest rates** affect cash flow and qualifying
Deductible expenses against rental income	**Hard to sell quickly**
Inflation hedge: rents and values tend to rise over time	**Rule changes:** rent caps (BC), short-term rental limits, zoning

2. Property Types

Type	Pros	Watch for
House	Strong demand, simple	Higher price; one tenant = all or nothing
Condo / townhouse	Lower entry price	Condo fees, bylaws, special assessments
House with legal suite	Two rents on one title	Suite must be legal and permitted
Duplex to fourplex	Live in one unit; insured financing possible	More management
5+ unit apartment	Scale	Commercial lending rules
Short-term rental	Higher potential income	Licensing, condo bans, lender limits, active management
Pre-construction	Possible lower entry price	Deposits at risk, delays, GST, assignment limits

3. Key Numbers

Measure	Formula	What it tells you
Net operating income (NOI)	Rent − vacancy − operating costs (no mortgage)	Income the property produces

Cap rate	NOI ÷ price	Return before financing
Gross yield	Yearly rent ÷ price	Quick screening
Cash flow	NOI − mortgage payments	What you keep (or top up) each year
Cash-on-cash return	Yearly cash flow ÷ cash invested	Return on your actual cash
Debt coverage (DSCR)	NOI ÷ yearly mortgage payments	Lenders often want 1.2x or more for rental buildings

Look at **total return** — cash flow + mortgage paydown + appreciation — not cash flow alone. Market cap rates and rents change often; ask me for current Calgary numbers.

4. Worked Example — Calgary Townhouse

Item	Amount	Notes
Purchase price	$450,000	20% down ($90,000)
Rent ($2,600 × 12)	$31,200	Check against comparable rentals
Vacancy (4%)	− $1,248	
Property tax	− $2,990	Calgary 2026 residential rate 0.66499%; confirm with the City
Condo fees	− $3,600	
Landlord insurance	− $1,000	
Property management (8%)	− $2,496	Budget it even if you self-manage
Maintenance (1% of value)	− $4,500	
Net operating income	**$15,366**	Cap rate about 3.4%
Mortgage payments ($360,000, 4.5%, 25 yrs)	− $23,910	Example rate only
Cash flow	**− $8,544**	About −$712 a month
Mortgage paid down (year 1)	+ $8,022	Equity you build
Appreciation (example 3%)	+ $13,500	Not guaranteed
Estimated total return, year 1	**about $12,978**	Before tax; about 14% on ~$93,000 invested

> This example has **negative cash flow** but a positive total return. Make sure you can comfortably carry any monthly shortfall — and that the numbers still work if rates rise or the unit sits empty.

5. Financing Rental Property

Situation	Minimum down payment	Mortgage insurance?	Notes
You live in a 1–2 unit property	5%	Yes	Rent from the other unit may help you qualify
You live in a 3–4 unit property	10%	Yes	Confirm current rules with your broker
Rental only, 1–4 units	20%	No	Lenders often count 50%–80% of rent
5+ unit rental building	Varies	CMHC programs exist for rental buildings	Commercial / multi-unit lending; DSCR-based
Short-term rental	Usually 20%+	No	Many lenders do not count STR income

Work with a mortgage broker who specializes in investment property before you make an offer.

6. Alberta vs. BC

Topic	Alberta	British Columbia
Land transfer tax	None (registration fees only)	Property Transfer Tax 1% / 2% / 3% (+2% on residential over $3M)
Rent increases	No rent control; proper notice and timing rules apply	Yearly cap set by the province
Disputes and evictions	Residential Tenancy Dispute Resolution Service (RTDRS) or court	Residential Tenancy Branch; usually takes longer
Speculation and Vacancy Tax	None	Applies in designated areas; yearly declaration; rates increased for 2026
Foreign buyers	Federal restrictions on non-Canadians (extended into 2027)	Federal restrictions + 20% additional PTT in specified areas
Short-term rentals	Municipal rules (Calgary requires a business licence)	Provincial principal-residence rules in many communities + municipal rules

Condo rentals	Check bylaws and the estoppel certificate	Strata rental bans removed in 2022; short-term limits may still apply

7. Tax Basics

- **Rental income is taxable** at your marginal rate after deducting expenses.
- **Deductible:** mortgage interest (not principal), property tax, condo fees, insurance, management, repairs, advertising, accounting, and some travel and utilities.
- **Depreciation (CCA):** you may claim depreciation on the building (not the land), but it can be "recaptured" as income when you sell. Talk to your accountant first.
- **Capital gains:** 50% of the gain is taxable. (The proposed increase to two-thirds was cancelled in March 2025.) The principal residence exemption does not apply to rental properties.
- **Changing use** between home and rental can trigger a "deemed sale." Get advice before you move out or move in.
- **Selling within 365 days:** profit on a home held less than a year is generally taxed as business income (with some exceptions).
- **GST:** long-term residential rents are exempt; short stays under a month can be taxable; new homes bought as rentals may have GST, with a possible rebate.
- **Personal or corporation?** Holding in a company has pros and cons — get accounting and legal advice.

8. Due Diligence Checklist

☐	Item
☐	Verify rent with the lease and a market rent check
☐	Confirm tenancy terms and last rent increase
☐	Review condo documents (see my Condo Red Flags Checklist)
☐	Confirm the suite is legal and permitted
☐	Check building permits for renovations
☐	Home inspection — note repairs that affect costs
☐	Confirm zoning allows your use (rental, short-term rental)
☐	Get a landlord insurance quote
☐	Confirm property management options and fees
☐	Alberta: confirm property tax assessment

☐	BC: confirm Speculation and Vacancy Tax status
☐	Talk to your accountant and lawyer before you buy

9. Common Mistakes

- **Buying on emotion** — the numbers must work.
- **Underestimating costs** — 35%–45% of rent for operating costs is often realistic.
- **Not verifying rent** — some listings show inflated or below-market family rents.
- **Ignoring tenancy laws** — know the rules before buying a tenanted property.
- **Forgetting tax** on sale and CCA recapture.
- **Wrong location** — check vacancy, jobs, population growth and infrastructure.

Thinking about an investment property?
I can run the numbers on any property you are considering — residential or commercial. Call or text **(403) 399-8124**, email **CalgaryJason@gmail.com**, or visit **jasonchoirealestate.com**. English and 한국어.

General education only. Not financial, tax, legal or investment advice. Example figures are illustrations, not forecasts. Real estate investing involves risk, including loss of capital. Rules and market conditions change often. Consult a CPA, lawyer and mortgage professional before buying. Prepared by Jason Choi, REALTOR®, First Place Realty. Updated November 2026.